Investment banking provides financial advisory and capital-raising services to corporations, governments, and institutions. Investment banks commonly advise clients on mergers, acquisitions, divestitures, and strategic transactions. Investment banks also help companies raise capital through equity and debt offerings. Mergers and acquisitions are commonly abbreviated as M&A. A merger combines two companies into a single business entity. An acquisition occurs when one company purchases another company. The acquiring company is commonly called the buyer or acquirer. The company being acquired is commonly called the target. A strategic buyer usually acquires a company to achieve business or operational objectives. A financial buyer usually acquires a company primarily as an investment. Private equity firms are common examples of financial buyers. An acquisition can be structured as an asset purchase or a share purchase. In a share purchase, the buyer acquires ownership of the target company's shares. In an asset purchase, the buyer purchases selected assets and may assume selected liabilities. M&A transactions can be friendly or hostile. A friendly transaction is supported by the target company's management and board. A hostile transaction occurs when the target's management does not support the acquisition. The board of directors represents shareholders in major corporate decisions. Investment bankers often prepare transaction presentations for senior management and boards. A pitch book is commonly used to present strategic and financial recommendations to clients. A pitch book may contain company analysis, valuation, market information, and transaction ideas. A confidential information memorandum is commonly called a CIM. A CIM provides detailed information about a company being marketed for sale. A CIM may contain historical financial statements and management projections. A CIM may also contain business descriptions, market information, and risk factors. Due diligence is the process of investigating a company before completing a transaction. Financial due diligence reviews the target's financial performance and financial position. Legal due diligence reviews contracts, legal matters, and potential liabilities. Tax due diligence reviews tax positions, exposures, and potential tax liabilities. Commercial due diligence evaluates the target's market, customers, and competitive position. Operational due diligence evaluates business processes, operations, and efficiency. Management due diligence evaluates the quality and capabilities of the management team. Valuation determines an estimated financial value for a company or asset. Enterprise value represents the value of a company's operations attributable to all capital providers. Equity value represents the value attributable to common shareholders. Enterprise value is often calculated using equity value, debt, preferred stock, and minority interest. Cash and cash equivalents are generally subtracted when calculating enterprise value. Market capitalization is calculated as share price multiplied by diluted shares outstanding. Diluted shares may include common shares, options, restricted shares, and convertible securities. The price-to-earnings ratio is commonly called the P/E ratio. The P/E ratio compares a company's share price with earnings per share. Enterprise value to EBITDA is commonly called EV/EBITDA. EV/EBITDA is widely used in comparable company analysis. EBITDA means earnings before interest, taxes, depreciation, and amortization. EBITDA is often used as a proxy for operating profitability. EBITDA excludes interest expense and therefore is independent of capital structure. EBITDA also excludes depreciation and amortization. EBIT means earnings before interest and taxes. EBIT includes depreciation and amortization expenses. Revenue represents the income generated from selling products or services. Gross profit equals revenue minus cost of goods sold. Gross margin is gross profit divided by revenue. Operating income measures profit after operating expenses. Operating margin is operating income divided by revenue. Net income represents profit after interest, taxes, and other expenses. Net margin is net income divided by revenue. Free cash flow represents cash available after required operating and capital expenditures. Capital expenditure is commonly called CapEx. CapEx represents spending on long-term assets such as property and equipment. Working capital measures short-term operating assets and liabilities. Net working capital is commonly calculated as current operating assets minus current operating liabilities. Accounts receivable represents amounts owed by customers. Accounts payable represents amounts owed to suppliers. Inventory represents products or materials held for sale or production. A company with strong working-capital management can improve cash generation. Cash conversion cycle measures how quickly a company converts operating investments into cash. The cash conversion cycle is affected by inventory, receivables, and payables. Financial statements are essential inputs for investment banking analysis. The three primary financial statements are the income statement, balance sheet, and cash flow statement. The income statement reports revenue, expenses, and profitability over a period. The balance sheet reports assets, liabilities, and equity at a specific date. The cash flow statement reports cash movements during a period. Assets are resources controlled by a company. Liabilities represent obligations owed by a company. Shareholders' equity represents the residual interest in company assets after liabilities. The accounting equation is assets equal liabilities plus shareholders' equity. Depreciation allocates the cost of a tangible asset over its useful life. Amortization generally refers to allocating the cost of intangible assets. Goodwill can arise when an acquirer pays more than the fair value of identifiable net assets. Goodwill is recorded as an intangible asset after certain acquisitions. A DCF valuation means discounted cash flow valuation. DCF valuation estimates value based on expected future cash flows. Future cash flows are discounted to present value using a discount rate. The weighted average cost of capital is commonly called WACC. WACC represents the blended required return of debt and equity capital providers. Cost of equity represents the return required by equity investors. Cost of debt represents the effective return required by debt providers. Interest expense can provide a tax deduction depending on applicable tax rules. The terminal value represents the value of cash flows beyond the explicit forecast period. The perpetual growth method estimates terminal value using a long-term growth assumption. The exit multiple method estimates terminal value using a valuation multiple. DCF valuation is highly sensitive to discount rates and terminal assumptions. A higher discount rate generally reduces present value. A higher long-term growth rate generally increases terminal value. Sensitivity analysis evaluates valuation changes under different assumptions. A sensitivity table can show enterprise value under different WACC and growth assumptions. Comparable company analysis is commonly called trading comparables. Trading comparables value a company using valuation multiples of similar publicly traded companies. Comparable companies should ideally have similar business models and risk characteristics. Industry, geography, size, and growth are common criteria for selecting comparable companies. Transaction comparables are also called precedent transactions. Precedent transactions analyze valuation multiples paid in previous acquisitions. Transaction multiples may include acquisition premiums. Trading multiples generally reflect current public market valuations. Precedent transaction multiples reflect prices paid for control of companies. A control premium represents the additional amount paid to obtain control. A transaction premium can be calculated relative to an unaffected share price. An unaffected share price is the target's share price before transaction speculation. A fairness opinion evaluates whether a transaction consideration is financially fair. Investment banks may provide fairness opinions to boards of directors. An accretion and dilution analysis evaluates the effect of an acquisition on buyer earnings per share. An acquisition is accretive when it increases the buyer's earnings per share. An acquisition is dilutive when it decreases the buyer's earnings per share. Purchase price allocation is commonly called PPA. PPA allocates the purchase consideration among acquired assets and assumed liabilities. Identifiable intangible assets can include patents, trademarks, and customer relationships. Synergies represent additional value created by combining two companies. Revenue synergies can arise from cross-selling and expanded distribution. Cost synergies can arise from eliminating duplicated expenses. Synergy assumptions should be supported by realistic operational plans. Integration risk can reduce the expected value of M&A synergies. An M&A transaction usually has a defined signing date. Signing occurs when parties execute the definitive transaction agreement. Closing occurs when the transaction legally completes. Conditions precedent are requirements that must be satisfied before closing. Regulatory approval may be required before certain transactions can close. Antitrust review evaluates whether a transaction could reduce competition. A merger agreement defines the terms and conditions of an acquisition. Representations and warranties describe facts and commitments made by transaction parties. Covenants define actions that parties must or must not take. A termination fee may be payable if a transaction is terminated under specified circumstances. A reverse termination fee may be payable by an acquirer in specified situations. Investment banks often create detailed transaction timelines. A sell-side process begins when a company decides to explore a potential sale. The sell-side advisor helps prepare materials and identify potential buyers. Potential buyers may sign confidentiality agreements before receiving sensitive information. A confidentiality agreement is commonly called an NDA. NDA means non-disclosure agreement. An NDA restricts the use and disclosure of confidential information. After signing an NDA, qualified buyers may receive the CIM. Buyers may submit preliminary indications of interest. A management presentation allows potential buyers to meet company management. A data room contains documents used for due diligence. Virtual data rooms are commonly used during M&A processes. Buyers may submit final bids after completing due diligence. The seller may select a preferred bidder based on price and transaction certainty. Transaction certainty includes financing capability and ability to obtain approvals. Debt financing allows a company to raise capital through borrowing. Equity financing allows a company to raise capital by issuing ownership interests. Bonds are debt securities issued to investors. Corporate bonds can have fixed or floating interest rates. Principal is the original amount borrowed. Coupon represents the interest payment associated with a bond. Maturity is the date when principal is scheduled to be repaid. Yield represents the return an investor expects from a debt security. Credit rating agencies evaluate the credit quality of issuers and debt securities. Investment-grade debt generally has stronger credit quality than high-yield debt. High-yield bonds generally carry higher yields because of higher perceived credit risk. Credit spreads represent the yield difference between debt securities with different credit risk. A wider credit spread generally indicates greater perceived credit risk. Leverage measures the use of debt relative to equity or earnings. Debt-to-EBITDA is a commonly used leverage ratio. Interest coverage measures a company's ability to service interest expenses. A higher interest coverage ratio generally indicates stronger debt-service capacity. Debt capacity represents the amount of debt a company can reasonably support. Lenders evaluate cash flow, collateral, leverage, and repayment capacity. Senior debt generally has priority over subordinated debt in repayment. Subordinated debt ranks below senior debt in the capital structure. Secured debt is backed by specified collateral. Unsecured debt is not directly backed by specific collateral. A revolving credit facility allows borrowers to draw and repay funds within a commitment. A term loan generally has a defined principal amount and repayment schedule. Amortization means scheduled repayment of principal over time. Bullet repayment means principal is primarily repaid at maturity. Covenants are contractual requirements included in financing agreements. Maintenance covenants require borrowers to maintain specified financial conditions. Incurrence covenants restrict certain actions unless specified conditions are satisfied. A covenant breach may trigger lender rights under the financing agreement. An LBO means leveraged buyout. An LBO uses significant debt financing to acquire a company. Private equity firms frequently use LBO structures. LBO returns depend on entry valuation, leverage, operating performance, and exit valuation. Entry enterprise value is the purchase valuation of the target. Exit enterprise value is the valuation at which the sponsor sells the investment. Sponsor equity represents the equity capital contributed by the private equity investor. Debt financing reduces the amount of sponsor equity required. Debt repayment can increase equity value if operating performance remains strong. Internal rate of return is commonly called IRR. IRR represents the annualized return implied by investment cash flows. Multiple of invested capital is commonly called MOIC. MOIC measures total investment proceeds relative to invested capital. A higher exit multiple can materially increase sponsor returns. EBITDA growth can increase enterprise value and reduce leverage ratios. LBO models commonly include entry, operating forecast, debt repayment, and exit assumptions. Management rollover allows management to reinvest part of its proceeds into the transaction. A management incentive plan can align management interests with investors. Equity capital markets is commonly abbreviated as ECM. Debt capital markets is commonly abbreviated as DCM. ECM teams advise companies on equity issuance. DCM teams advise companies on debt issuance. An initial public offering is commonly called an IPO. An IPO is the first public offering of a company's shares. A follow-on offering occurs after a company is already publicly traded. A secondary offering involves existing shareholders selling shares to public investors. A primary equity offering raises new capital for the issuing company. Bookbuilding is the process of collecting investor demand for a securities offering. The offer price is determined based on transaction structure and investor demand. Underwriters help distribute securities to investors. An underwriting syndicate may contain multiple investment banks. A prospectus provides information about a securities offering. Investors evaluate company fundamentals before purchasing securities. Market capitalization reflects the market value of publicly traded equity. Free float represents shares available for public trading. Earnings per share is commonly called EPS. EPS equals net income attributable to common shareholders divided by diluted shares. EPS growth is an important metric for public equity investors. Return on equity is commonly called ROE. ROE measures profitability relative to shareholders' equity. Return on invested capital is commonly called ROIC. ROIC measures returns generated on invested capital. A company can increase ROIC through better margins and efficient capital utilization. Financial modeling is a core skill in investment banking. Investment banking models are commonly built using spreadsheet software. A three-statement model connects the income statement, balance sheet, and cash flow statement. Revenue assumptions are often based on historical trends and business drivers. Expense assumptions may be modeled as percentages of revenue. Depreciation can be modeled using existing assets and planned capital expenditures. Interest expense can be modeled using average debt balances and interest rates. Cash flow from operations starts with net income and adjusts for non-cash and working-capital items. Cash flow from investing includes capital expenditures and acquisitions. Cash flow from financing includes debt issuance, repayment, and equity transactions. The balance sheet must remain balanced in a properly constructed financial model. Historical financial data should be validated before building forecasts. Forecast assumptions should be documented clearly. Model checks help identify calculation errors. Circular references can occur when model calculations depend on themselves. Scenario analysis evaluates different business outcomes. Base-case analysis represents the central operating expectation. Upside scenarios assume stronger operating or market performance. Downside scenarios assume weaker operating or market performance. Risk analysis evaluates factors that could negatively affect investment outcomes. Market risk represents potential losses caused by market movements. Credit risk represents the possibility that a borrower fails to meet obligations. Liquidity risk represents the risk of being unable to meet financial obligations when due. Operational risk arises from failures in processes, systems, people, or external events. Legal risk arises from contracts, regulations, litigation, or other legal matters. Regulatory risk arises from changes or non-compliance with applicable regulations. Country risk reflects economic, political, and financial risks associated with a country. Currency risk arises from changes in foreign exchange rates. Interest-rate risk arises from changes in market interest rates. Hedging can be used to reduce certain financial risks. Derivatives can include forwards, futures, options, and swaps. A forward contract establishes an agreement to transact at a future date at an agreed price. An option gives the holder the right but not the obligation to transact. A swap involves exchanging specified cash flows between parties. Foreign exchange risk is important for companies with international operations. Due diligence helps identify risks before an investment or acquisition. Material risks should be communicated clearly to decision makers. Compliance with applicable laws and regulations is essential in financial services. Know Your Customer is commonly abbreviated as KYC. KYC procedures help financial institutions verify customer identities. Anti-money laundering is commonly abbreviated as AML. AML controls help detect and prevent money laundering activities. Customer due diligence is an important component of financial crime controls. Suspicious transactions may require investigation and regulatory reporting. Insider trading involves trading securities using material non-public information. Investment bankers must protect confidential and material non-public information. Information barriers help restrict inappropriate information sharing. Conflicts of interest must be identified and appropriately managed. Chinese walls are organizational controls designed to restrict sensitive information flows. Material information can significantly affect an investor's decision or security price. Confidentiality is critical during M&A and capital-markets transactions. Data accuracy is essential for financial analysis. Source documents should be validated before being used in financial models. Analysts commonly reconcile financial information across multiple sources. Historical financial statements should be adjusted for unusual or non-recurring items when appropriate. Normalized EBITDA attempts to represent sustainable operating performance. One-time restructuring costs may be excluded from adjusted EBITDA depending on analysis. Adjustments should be supported by evidence and clearly documented.

Investment banking presentations should be accurate, concise, and easy to understand. Charts and tables should clearly communicate important financial information. Senior management often focuses on valuation, strategic rationale, risks, and transaction economics. Shareholders may focus on transaction value, premium, synergies, and future prospects. Lenders focus heavily on repayment capacity and downside protection. Private equity investors focus on returns, leverage, value creation, and exit opportunities. Strategic buyers often focus on synergies and long-term competitive advantages. A transaction thesis explains why a transaction should create value. Strategic rationale explains the business reasons supporting a transaction. Value creation can come from revenue growth, cost reduction, improved margins, or multiple expansion. Multiple expansion occurs when an investment is sold at a higher valuation multiple than its entry multiple. Multiple compression occurs when an investment is sold at a lower valuation multiple than its entry multiple. Exit strategy describes how an investor plans to realize its investment. Common exit routes include strategic sales, sponsor sales, and IPOs. Transaction execution requires coordination among management, advisors, lawyers, accountants, and lenders. Investment banking analysts commonly perform financial analysis and prepare transaction materials. Associates review analysis and coordinate workstreams with analysts and senior team members. Vice presidents often manage execution and client communication. Managing directors generally focus on client relationships, business development, and transaction strategy. A successful investment banking transaction requires accurate analysis, disciplined execution, and effective risk management. Investment banking decisions should be based on reliable financial information, appropriate valuation methods, and clearly documented assumptions.